

Opinion **Unhedged**

The FOMC and the luxury of dissent

Plus more on tariffs and price increases

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Good morning. The Mag 7 boom continues (if you ignore Tesla). Meta and Microsoft both beat revenue expectations in the second quarter, and their shares rose 10 and 7 per cent, respectively, in late trading. Meanwhile, Donald Trump has, er, backed off on [copper tariffs](#): the threatened 50 per cent tariff was only applied to semi-finished copper (pipes, wires and the like), not ores and concentrates. US copper futures fell 20 per cent on the news. All of this on the same day as a GDP announcement and a Fed meeting. More on those below. Email us: unhedged@ft.com

The Fed and GDP

The Fed governors Michelle Bowman and Christopher Waller think that the Fed should have cut rates yesterday, rather than standing pat. It was the first time there have been two dissenting votes in a Federal Open Market Committee meeting in more than 30 years.

Reading the second-quarter GDP report that landed a few hours before the committee's decision was announced, you might conclude the dissenters are right. Economic growth is slowing down. The wild swings in imports and inventories make the headline growth number illegible, so everyone is looking at final domestic sales instead. It has now decelerated for three straight quarters:

The primary reason, as Fed chair Jay Powell pointed out yesterday, is lower consumer spending. Though spending accelerated a touch from the first quarter to the second, the first half of this year is clearly cooler than last year:

The cooling is not restricted to the consumer. While overall private investment looks a little stronger in the past two quarters than in 2024, that is driven mostly by investment in equipment. Commercial and residential building (green and light blue lines, below) are both contracting hard:

And the growth in equipment investment is driven mostly by information processing equipment, with a little help from intellectual property purchases — that is, by the data centre boom. Absent that, the investment cycle would be turning down.

Growth is not a target of Fed policy, employment is. As Powell pointed out several times yesterday, the labour market seems to be operating at full employment, with an unemployment rate of 4.1 per cent. While job creation is slowing, the workforce is also shrinking, leaving the two in balance.

But the dissenters can argue that the slowing growth is sending a signal that the stability of the job market is under threat. What is more, PCE inflation is at 2.5 per cent, and part of that — one can argue about how much — is due to tariff flow-through. Powell said he expected tariff price increases to be a one-time effect. Given that, is it not best to stop quibbling about the 2.5 per cent versus 2 per cent and start to ease policy?

In fact, no. Powell and the majority of the committee made the right call, for three reasons:

Services inflation (the green line, above). While the second quarter rate (2.9 per cent) was a bit lower, the trend is clearly sideways, not down.

Underlying inflation, even putting tariffs aside, is not beaten.

The amount of tariff inflation that penetrates to consumers is still a matter of debate, and it is not certain that it will be a one-time effect, either. The trend in durable goods inflation (pink line, above) is downright alarming.

It remains unclear whether the “slowdown” in the GDP data is not, in fact, normalisation following the post-pandemic sugar high. Final domestic sales are growing at 1.2 per cent. Is that so much lower than the US’s long-term trend growth rate?

We have just recovered from a major, damaging inflationary incident, inflation is above target, and unemployment is very low. To say that under those conditions the central bank should look at signs of rising inflation and say “transitory” is a reach. Bowman and Waller have the luxury of dissent. Their opinion was never going to matter to policy. If the labour market cracks later this year, they look prescient and independent-minded. If, instead, inflation takes hold again, they will have done no damage and be part of a group. The majority of the committee do not enjoy such asymmetrical incentives.

(Armstrong)

Tariffs and prices: speak up

Last week, when the second-quarter earnings season was young, we [noted](#) some companies had begun to raise the alarm on tariffs hitting their profits. We’re now at the halfway point of the season, and the drumbeat continues.

Procter & Gamble forecasts a \$1bn hit to pre-tax profits from tariffs in the 2026 fiscal year. It had previously announced price rises in the mid-single-digits range on about a quarter of its products. According to CFO Andre Schulten on the earnings call:

At these rates, tariffs alone are a 5 [percentage] point headwind to core earnings per share growth in fiscal 2026. We will look for every opportunity to mitigate these impacts, including sourcing flexibility, productivity improvements, and pricing with innovation in affected categories and markets.

“Pricing with innovation”? Come on. Schulten’s unwillingness to speak plainly about how much the company will offset tariffs with higher prices is reminiscent of GM’s CFO Paul Jacobson last week:

We're still tracking to offset at least 30 per cent of the \$4bn to \$5bn full-year 2025 tariff impact through strategic actions such as manufacturing adjustments, targeted cost initiatives and consistent pricing.

"Consistent" with what? Meanwhile, toolmaker Stanley Black & Decker, which forecasts about \$800mn in tariff impacts, leading to "targeted" price increases said:

The organisation is remaining focused on executing our robust plan designed to mitigate tariffs. We plan to leverage supply chain moves and targeted pricing actions to improve our gross margin in the coming quarters.

Trump has lashed out at companies, most notably Walmart, that have been explicit about offsetting tariffs with prices. But companies don't work for the president; they work for shareholders and have a duty of honesty to customers, too. Tariffs are a tax increase. Companies are in the best position to help everyone understand who is going to pay it. Executives should stop being so mealy-mouthed.

(Kim)

One good read

Britain is [OK](#).

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